

An Introduction to Bitcoin: The Open Source Cryptographic Currency

Bitcoin is the new 'virtual currency' that has aroused the interest of millions of people, financial and banking institutions, and government agencies. As it is relatively new, much is not known about it. In this article the author demystifies Bitcoin.

Have you ever wanted to send money to India from a foreign country, or wished for a borderless currency that could easily be spent anywhere?

Open source comes to your rescue here as well. In the always-connected world of devices, you can now use Bitcoin from anywhere with the privacy and anonymity that's similar to using cash, and in a medium that is very secure.

Bitcoin is an open source peer to peer cryptographic currency, which is quite revolutionary since it is based on a peer to peer protocol. This means that it is not regulated by any government, private body or organisation. Each user forms part of a payment network, which is basically a set of protocols for exchanging currency worldwide without any borders. The very fact that it can be used and accepted anywhere can change the way our economy works. Moreover, the best part about using Bitcoin is that you can transfer it with little or no transaction fees! Bitcoin had a boom recently when its value spiked suddenly over a short period of time, but it is still not universally accepted in as many places as desired. This is partly due to the fact that the technology is still under development and also because many merchants or developers are still wary of accepting something that could essentially be a risky investment of their time and money.

Bitcoin has been of interest to merchants, developers and consumers who are keen to break the boundaries and shackles of the existing payment methods to try something new. These are however niche applications, and its acceptance is at present limited to larger brands and in popular places. Moreover, Bitcoin has also been linked with black markets, money laundering and purchase of illegal goods. This is because of the anonymity and privacy provided by Bitcoin, which makes its use similar to using cash. An important point

to note here is that Bitcoin transactions do not come with the kind of fraud protection that conventional platforms like credit cards and PayPal provide. Once completed, a

Bitcoin transaction cannot be reversed unless the recipient decides to send you the money back in a new transaction. Many would assume that this is a loophole but it is, rather, a security feature which keeps you in control of your own money instead of interference from some other authority. This is one of the primary reasons why credit card and online payment methods other than bank fund transfers are not accepted even by third party merchants or Bitcoin exchanges in return for Bitcoins.

Bitcoin was launched in 2008 by Satoshi Nakamoto, a person whose true identity is still unknown. However, ever since its launch, Bitcoin's value has steadily risen from less than a dollar to more than \$100 today, where it seems to be relatively stable for the time being. This value is determined by the price at which the Bitcoin is sold at major exchanges like Mt Gox. This has, however, obviously drawn a lot of attention and many of the countries are now trying to find a way to introduce rules and regulations around such innovative technology. The rising value has resulted in day to day Bitcoin transactions being carried out on a much lower numerical scale than normal currency. Divisibility is one of the inherent properties of Bitcoin which, as opposed to normal currency, can be divided up to eight decimal places and can be used in denominations such as uBTC and mBTC.

Using Bitcoin

Bitcoin can be used from mobile devices as well as desktops. There are clients available for Android, iOS, etc, on mobile devices and for Windows, OS X and Linux on desktop computing platforms. While there are online Web

